Amazon US Marketplace Case Study

Background

Amazon is a large multinational online retailer operating across more than 200 countries in North America, Asia, Europe, Australia, and South America. The company's core business model enables businesses and merchants to sell products online to Amazon customers through its digital marketplace platform.

The United States represents the largest market for Amazon, accounting for approximately 60% of the company's total online revenue. Although the US marketplace has historically demonstrated strong growth, recent internal reports suggest a potential slowdown in growth.

Business Problem

The leadership team has expressed concern regarding the recent reports indicating that growth in the US market may be slowing. As a result, the Global Product Strategy and Analytics team has been tasked with evaluating the current state of the US marketplace.

The objective of this analysis is to determine whether the US marketplace is continuing to grow rapidly or if there are signs of a slowdown in performance.

Analytical Objective

The insights generated from this analysis will support the upcoming meeting between the US Product Management team and the Vice President of the US Business Unit. The results will help guide strategic decisions regarding the company's focus areas and marketing budget allocation for 2019.

Key Hypotheses to Investigate

During preliminary discussions, the US Product Manager highlighted several hypotheses that require further investigation:

- Certain product departments, particularly Books, appear to be performing significantly better than others.
- Some buyer engagement segments may be growing faster than others and contributing more revenue.
- Certain merchant segments may be underperforming due to economic factors or pricing strategies.
- Overall marketplace growth trends need to be evaluated to determine whether the business is slowing or continuing to expand.

Expected Outcome

The goal of this analysis is to provide a clear, data-driven understanding of the current performance of the Amazon US marketplace. The analysis should identify key revenue drivers, growth patterns, and potential areas of concern across departments, buyer segments, and merchant segments.

The findings will enable leadership to make informed strategic decisions and prioritize the most impactful areas for investment and growth.